

Global Omnichannel Logistics Master Services Agreement

GLOBAL OMNICHANNEL LOGISTICS MASTER SERVICES AGREEMENT **Agreement Number:** GOL-2027-MSA-4812 **Effective Date:** March 1, 2027 **Initial Expiration Date:** February 28, 2032 **Renewal Option:** Two optional one-year renewals by written notice at least 120 days before expiration **Shipper:** Titan Retail Group, Inc., a Delaware corporation **Logistics Provider:** Northstar Freight & Fulfillment LLC, an Illinois limited liability company **Primary Operating Region:** United States, Canada, Mexico, and European Union cross-border lanes **Contract Currency:** United States Dollars **Governing Law:** New York, excluding conflicts principles --- ## ARTICLE I: BACKGROUND AND DEFINITIONS ### Section 1.01: Background Titan Retail Group operates a multi-channel retail network with ecommerce, marketplace, store replenishment, and wholesale distribution channels. Northstar Freight & Fulfillment will provide managed transportation, warehouse coordination, customs support, cold-chain monitoring, reverse logistics, and performance analytics. The purpose of this Agreement is to establish measurable logistics obligations with exact service levels, penalties, reporting duties, audit rights, and termination triggers. The Parties acknowledge that service failure can cause lost sales, retailer chargebacks, spoilage, customer refunds, and regulatory exposure. ### Section 1.02: Defined Terms **Catering Window Equivalent:** For logistics loads, the scheduled pickup or delivery window stated in the tender, transportation management system, or confirmed route plan. **Critical Lane:** Any lane identified in Exhibit B as supporting perishable goods, private-label launch inventory, medical wellness products, holiday peak inventory, or customer promise dates within two days. **EDI 214 Status Message:** The shipment status message required at tender acceptance, pickup, border crossing, delivery, delay, exception, and proof of delivery events. **Excursion Event:** Any temperature reading outside the required temperature range for a temperature-controlled shipment for more than fifteen consecutive minutes. **Material Service Failure:** Any service failure that causes a customer shipment to miss a promised delivery date, causes inventory to miss a promotional event, causes regulatory reporting, or results in penalties exceeding \$25,000 in a calendar month. **Peak Season:** October 1 through January 15 each year, plus any promotional event designated by Titan at least thirty days in advance. **Service Credit:** A credit against monthly fees, accessorial fees, or freight management fees. Service Credits do not limit Titan's right to claim direct damages for fraud, willful misconduct, data breach, gross negligence, or indemnified third-party claims. --- ## ARTICLE II: SCOPE OF SERVICES ### Section 2.01: Managed Transportation Northstar shall manage inbound, outbound, store replenishment, direct-to-consumer, reverse logistics, and cross-border transportation. Services include carrier procurement, load tendering, route optimization, appointment scheduling, freight audit support, claims support, and exception management. Northstar shall maintain a carrier network sufficient to cover ordinary volume, Peak Season volume, and emergency surge volume. At least 85% of all monthly truckload and less-than-truckload shipments must be handled by approved carriers listed in Exhibit C. No carrier may be used if its safety rating is conditional, unsatisfactory, suspended, or materially restricted by a regulator. ### Section 2.02: Warehouse Coordination Northstar shall coordinate pickup appointment availability with Titan distribution centers in Phoenix, Columbus, Dallas, Savannah, Toronto, and Rotterdam. Northstar is not the warehouse operator, but it is responsible for carrier appointment compliance, carrier check-in readiness, detention tracking, demurrage prevention, and escalation of missed appointments. ### Section 2.03: Customs and Trade Support For cross-border lanes, Northstar shall collect, validate, and transmit commercial invoices, packing lists, Harmonized Tariff Schedule classifications supplied by Titan, broker instructions, product origin data, and admissibility documents. Northstar is not importer of record, but it must identify missing trade documents before departure. ### Section 2.04: Cold Chain Monitoring Northstar shall provide temperature visibility for perishable, wellness, and restricted products. Monitoring must use active telemetry for Critical Lanes and passive logger capture for all

and approved pass-through carrier charges.

| Fee Category | Amount | Notes | |---|---|---| | Monthly Management Fee | \$450,000 | Fixed for the first contract year | | Freight Audit Fee | \$1.25 per shipment | Applies to each shipment audited | | Cross-Border Document Fee | \$18.00 per border shipment | Waived for automated API submissions | | Cold Chain Monitoring Fee | \$22.00 per monitored shipment | Includes telemetry retention | | Peak Season Control Tower Fee | \$95,000 per Peak Season month | Applies October, November, December | #### Section 3.02: Invoices Northstar shall submit monthly invoices by the fifth business day of the following month.

Titan shall pay undisputed amounts within thirty days after receipt.

Disputed amounts must be resolved within fifteen business days after the dispute notice unless the Parties agree to extend the review period.

Section 3.03: Accessorial Controls No detention, demurrage, storage, redelivery, layover, reconsignment, chassis, or dry-run charge may be billed unless supported by time-stamped carrier records and approved exception codes.

Unsubstantiated accessorials are automatically rejected.

Section 3.04: Most Favored Rate Review Once per calendar year, Titan may benchmark rates against two nationally recognized logistics benchmarks.

If Northstar's management fee is more than 8% above benchmark median without documented service differentiation, the Parties shall renegotiate rates within thirty days.

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KPI failures may trigger Service Credits, Corrective Action Plans, executive escalation, termination rights, or all of the foregoing.

KPI calculations exclude only Force Majeure events accepted under Section 12.03.

Section 4.02: KPI-1 On-Time Pickup Performance **Definition:** Percentage of shipments picked up within the confirmed appointment window.

Target: At least 98.0% on-time pickup each calendar month.

Measurement: Pickup timestamp from carrier mobile check-in, yard gate record, or warehouse appointment system.

Exclusions: Titan-caused dock closure, written Titan hold, or Force Majeure accepted by Titan.

| Monthly Performance | Score | Consequence | |---|---|---| | 99.0% or higher | 110 | Eligible for quarterly bonus pool | | 98.0% to 98.99% | 100 | No action | | 96.5% to 97.99% | 75 | Warning and root cause summary | | 94.0% to 96.49% | 50 | Tier 1 Service Credit | | Below 94.0% | 25 | Tier 2 Service Credit and Corrective Action Plan | **Penalty Structure:** Tier 1 Service Credit equals \$3,000 per tenth of a percentage point below 96.5%.

Tier 2 Service Credit equals \$7,500 per tenth of a percentage point below 94.0%, plus a mandatory Corrective Action Plan.

Section 4.03: KPI-2 On-Time Delivery Performance **Definition:** Percentage of shipments delivered within the required delivery window.

Target: At least 97.5% on-time delivery each calendar month.

Critical Lane Target: At least 99.0% on-time delivery for Critical Lanes.

| Shipment Type | Failure Band | Service Credit | |---|---|---| | Standard shipment | 95.0% to 97.49% monthly performance | \$4,000 per tenth below 97.5% | | Standard shipment | Below 95.0% monthly performance | \$9,000 per tenth below 95.0% | | Critical Lane | 97.0% to 98.99% monthly performance | \$15,000 per tenth below 99.0% | | Critical Lane | Below 97.0% monthly performance | \$30,000 per tenth below 97.0% plus executive review | **Special Rule:** Three missed Critical Lane deliveries in any rolling seven-day period trigger immediate daily executive calls until performance returns to target for ten consecutive days.

Section 4.04: KPI-3 EDI 214 Timeliness **Definition:** Percentage of required EDI 214 status messages transmitted within thirty minutes after the underlying event.

Target: 99.2% timely EDI 214 status messages.

Penalty: \$250 per late or missing required EDI 214 message after the first twenty exceptions in a month.

If monthly performance falls below 96.0%, Northstar shall pay an additional \$35,000 data integrity credit.

Section 4.05: KPI-4 Damage and Loss Rate **Definition:** Number of units damaged, lost, stolen, or rendered commercially unsellable per 10,000 units shipped.

Target: No more than 0.15% damaged or lost units.

Penalty: For each 0.01% above 0.15%, Northstar shall credit \$12,500.

Damage rate above 0.30% in any month is a Material Service Failure.

Section 4.06: KPI-5 Customs Document Accuracy **Definition:** Percentage of cross-border shipments with complete and accurate customs packet prior to departure.

****Penalty:**** \$5,000 per Excursion Event plus replacement cost of affected goods.

Three Excursion Events in any calendar quarter trigger a cold-chain Corrective Action Plan.

A confirmed excursion involving regulated wellness products is a Critical Breach.

Section 4.08: KPI-7 Carrier Acceptance Rate ****Definition:**** Percentage of load tenders accepted by approved carriers within two hours after tender.

****Target:**** 98.5% carrier acceptance.

****Penalty:**** \$2,500 per percentage point below 98.5%; \$10,000 additional credit if acceptance drops below 95.0% during Peak Season.

Section 4.09: KPI-8 Customer Promise Recovery ****Definition:**** Percentage of shipments with an exception that receive a documented recovery plan within sixty minutes.

****Target:**** 95.0% of exceptions have timely recovery plans.

****Penalty:**** \$500 per exception without a timely plan.

If fewer than 90.0% of exception shipments receive a plan, Northstar must provide a weekly remediation report for eight weeks.

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The report must include late pickups, late deliveries, Critical Lane exceptions, temperature exceptions, EDI failures, customs holds, accessorial exposures, and open recovery plans.

Section 5.02: Weekly Reporting Every Monday by 12:00 PM Central Time, Northstar shall submit a weekly trend report showing KPI performance, root causes, corrective actions, top twenty problem lanes, carrier scorecards, and unresolved claims.

Section 5.03: Monthly Business Review Northstar shall conduct a monthly business review by the tenth business day of each month.

The review must include KPI scorecards, Service Credit calculations, open corrective action items, pending claims, safety incidents, data quality metrics, forecast variance, and improvement initiatives.

Section 5.04: Quarterly Executive Review Each quarter, senior executives from both Parties shall review performance, cost, strategic network changes, automation roadmap, carbon reporting, carrier compliance, and upcoming Peak Season readiness.

Section 5.05: Audit Rights Titan may audit Northstar's records, carriers, EDI logs, claims files, invoices, corrective action records, data access logs, and telemetry records on ten business days' notice.

Northstar shall retain records for seven years after expiration or termination.

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Section 6.02: Service Credit Cap Except for data breach, fraud, willful misconduct, indemnity claims, confidentiality breach, and Critical Breach, aggregate monthly Service Credits are capped at 18% of monthly management fees.

This cap does not limit direct damages for lost or damaged goods.

Section 6.03: Bonus Pool Northstar may earn a quarterly bonus of up to \$75,000 if all KPIs score at or above target, no Critical Breach occurred, and total cost per shipment improves by at least 3% compared with the prior quarter without reducing service quality.

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Section 7.02: Security Incident Notice Northstar shall notify Titan within four hours after discovering any confirmed or suspected unauthorized access to Titan data, EDI credentials, shipment location data, customer contact data, or carrier portal credentials.

A written incident report is due within seventy-two hours.

Section 7.03: Data Use Restrictions Northstar may use Titan data only to provide services under this Agreement.

Northstar may not sell, train external models on, benchmark unrelated customers with, or disclose Titan data except as expressly authorized.

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Section 8.02: Indemnity Northstar shall indemnify Titan against third-party claims arising from Northstar's negligence, willful misconduct, data breach, carrier selection failures,

- Critical Lane On-Time Delivery below 95.0% in any month.
- Aggregate monthly Service Credits exceeding \$300,000 in two consecutive months.
- A Critical Breach involving regulated wellness products, data breach, fraud, or intentional falsification of KPI data.
- Material breach uncured thirty days after written notice.

Section 9.02: Termination for Convenience Titan may terminate for convenience on 180 days' written notice.

Northstar may terminate for convenience after the initial term on 365 days' written notice.

Section 9.03: Transition Assistance Upon expiration or termination, Northstar shall provide up to 180 days of transition assistance at then-current rates, including carrier data export, open claim files, route guide transfer, EDI mapping support, and knowledge transfer.

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Either Party may seek injunctive relief for confidentiality, data security, or intellectual property violations.

Section 10.02: Confidentiality Each Party shall protect Confidential Information using at least reasonable care and no less care than it uses for its own similar information.

Confidentiality obligations survive for five years, except trade secrets remain protected as long as they qualify as trade secrets.

Section 10.03: Force Majeure Force Majeure includes natural disaster, declared emergency, war, terrorism, port closure, government order, widespread labor stoppage not limited to Northstar, and cyberattack not caused by Northstar's failure to maintain required controls.

Force Majeure does not excuse payment, reporting, data security, or mitigation obligations.

Section 10.04: Notices Formal notices must be sent by email and overnight courier to the addresses in Exhibit A.

Notice is effective upon confirmed receipt, except termination notices are effective only when received by the legal department contact.

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controltower@northstarfreight.example ## EXHIBIT B: CRITICAL LANES Critical Lanes include Phoenix to Los Angeles, Columbus to New York Metro, Savannah to Miami, Toronto to Chicago, Rotterdam to Hamburg, Dallas to Denver, and any launch event route designated by Titan.

EXHIBIT C: REQUIRED SOURCE SYSTEMS Northstar shall integrate with Titan's transportation management system, warehouse appointment system, customer order management system, freight audit platform, EDI gateway, carrier portal, and product master data feed.